

NEW BUSINESS STREAMS

● The DFCCIL is looking to cast its net wider in terms of revenue sources, beyond traditional freight



STRATEGY

- 1 Capture unconventional traffic (like FMCG, e-commerce delivery services) via competitive pricing and delivery models
- 2 Deploy the latest tech solutions (dynamic ETA using Maps, different payment options, tracking via QR code, SMS notifications)
- 3 One-stop service for all requirements—pick-up, drop, aggregation, packaging and storage
- 4 Bring rail parcel service to customer's door-step—eliminate customer visit to parcel office



TARGET

- 1 Both business-to-business (Amazon, Flipkart, Delhivery, DHL, etc.) and business-to-customer models
- 2 An app-based system to aggregate scattered demand, bridge first mile and last mile connectivity with advanced cargo tracking
- 3 Collaborate with small businesses / entrepreneurs to join as agent, hub managers and aggregators
- 4 Collaborate with Indian Railways and India Post to make this a pan-India project

has cut milk transportation time to 8-9 hours from 24 hours via road. In FY24, the DFC moved 207 ToT rakes, resulting in earnings of ₹13.65 crore.

Auto major Maruti Suzuki India has started using this service to send auto components from its plant in Manesar, Haryana, to Gujarat's Mehsana, reducing transit time by 12 hours. Maruti moved about one-fourth of its auto components through the DFC in FY24. Also on the Railways' radar is smaller freight. Amazon was the first e-commerce player to leverage DFC on the Rewari-Palanpur route starting mid-2023.

For parcel services, the Railways has been using modified passenger train coaches that were otherwise discarded after use. It is also in talks with other companies like Flipkart and Delhivery.

Nanduri says the Railways needs to adopt the Blue Ocean strategy—or exploit avenues not open today—to increase its earnings. The Railways primarily deals with heavy and long-haul freight like cement, steel, feldspar, fertiliser, and others, but leaves behind a very sizeable amount of parcel freight that goes by road.

“Parcel goods are large in number, and some are very valuable, and the Railways needs to venture into this segment to increase earnings and utilise world-class infrastructure,” he adds.

On the challenge from road in terms of first- and last-mile connectivity, DFCCIL CMD Jain says the corridors are complementing roadways. “Innovative services like ToT are steps in this direction. DFC is also creating Gati Shakti cargo terminals at its stations for

ease of freight movement with the help of trucks,” Jain says. The Railways has invited entities to set up private freight terminals and multimodal logistics parks for better synergy with road.

THE FIRST TRAIN on the DFC between New Bhaurpur and New Khurja in Uttar Pradesh was flagged off by Prime Minister Narendra Modi in December 2020. The two arms of the DFC can run a maximum of 120 trains per day in each direction (480 in all). But they are limited right now to around 250–280 based on customer demand. The eastern DFC gets more traffic owing to coal and fertiliser movement, while the western DFC is yet to pick up.

Sanjiv Garg, Secretary General of industry body Chartered Institute of Logistics Transport (CILT), says the Railways should easily be moving 3,000 MT freight annually, but it does just half of that. “DFC-CIL was created as a separate entity, but the Railways hasn't given it the freedom to decide policy measures. You are pricing yourself higher than what the market would have allowed and trying to recover costs from freight by cross-subsidising passenger fares,” he says.

Freight costs remain a key concern for logistics players, and they have been demanding tariff rationalisation to make it more competitive and attract more business. For instance, the Railways charges ₹1,350 for transporting feldspar of 65 tonnage weight for a distance of 750 km (first and last-mile connectivity still by road). On